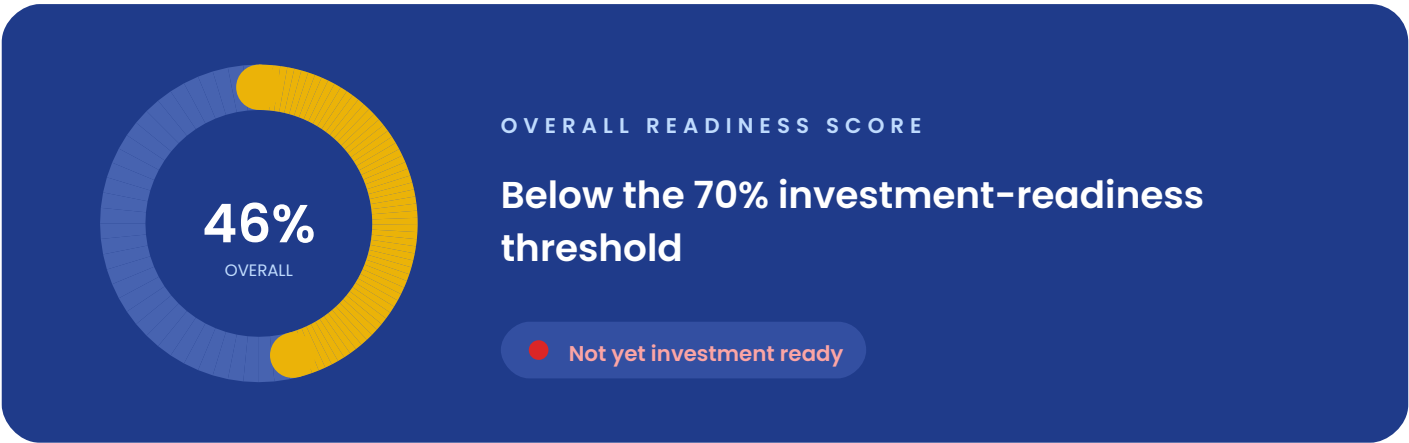


CAPITAL READINESS ASSESSMENT

Loco Financial Technologies

An independent evaluation of investment readiness across commercial, financial, operational and legal domains – with a structured 18-month improvement roadmap.



01 Company Profile

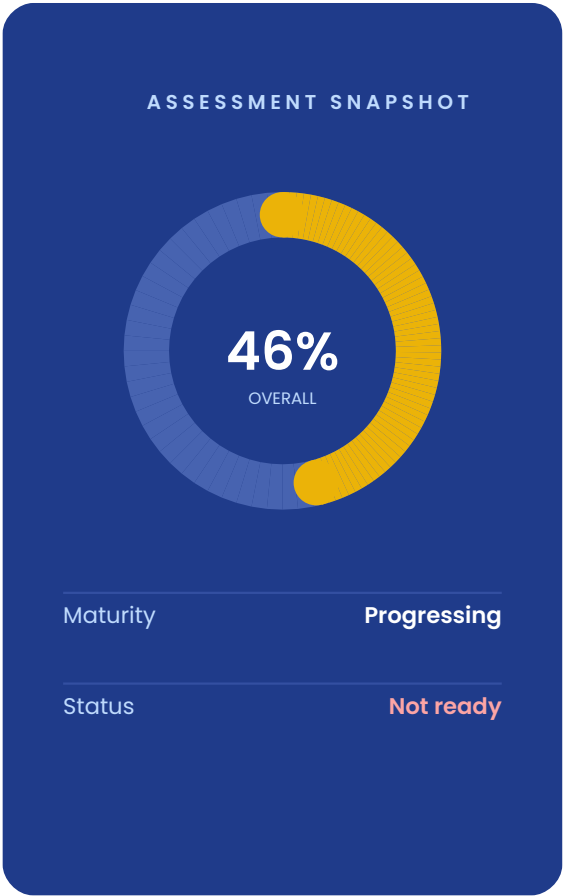
Who Loco Financial Technologies is, and the context of this capital readiness assessment.

COMPANY OVERVIEW

Loco Financial Technologies is a Financial Technology company operating in Tanzania. This report evaluates its readiness to raise external capital across four domains — commercial, financial, operational, and legal & compliance — using the Capital Readiness Assessment (CRAT) framework, and sets out the roadmap required to reach investment readiness.

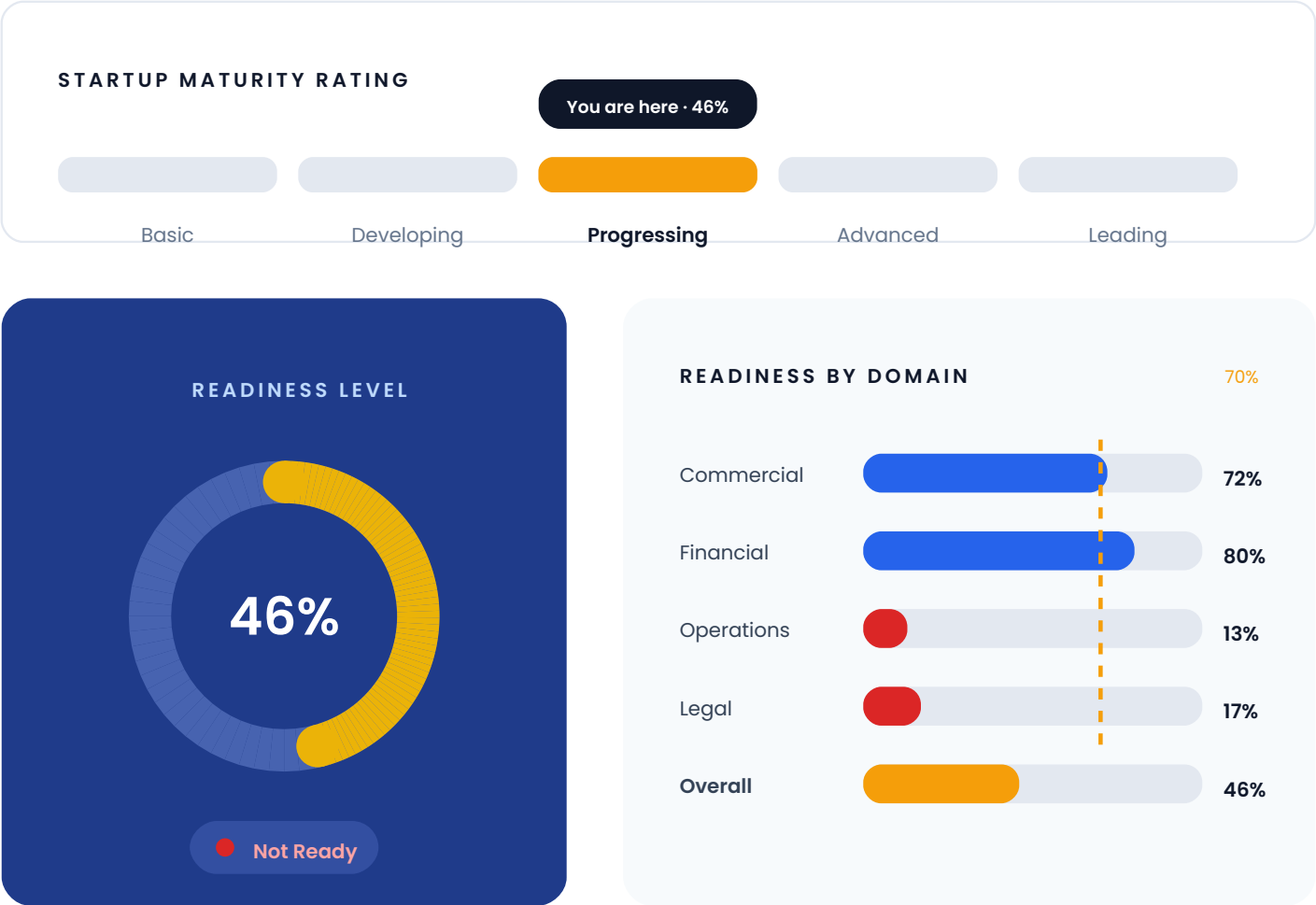
AT A GLANCE

SECTOR Financial Technology	HEADQUARTERS Tanzania
ASSESSMENT Capital Readiness	ASSESSMENT DATE 9 July 2026
FOCUS Investment Readiness	READINESS THRESHOLD 70%



02 Overall Findings

Loco Financial Technologies sits at the "Progressing" maturity level with an overall readiness of 46% — below the 70% investment-readiness threshold.



READINESS LEVEL

Loco Financial Technologies achieved an overall Capital Readiness Score of 46%, placing it at the "Progressing" maturity level. Commercial and Financial are investment-grade. Operations and Legal carry the highest-risk capability gaps. Overall the business is not yet investment-ready; the sections that follow detail the thematic gaps, domain findings and recommended interventions.

03 Key Thematic Gaps

The defining capability gap in each domain, with a tailored read on what it means for investment readiness.

Commercial / Market

72%**ON TRACK**

Revenue is being generated, but the commercial engine still runs on informal, undocumented routines. There is no defined sales pipeline, market positioning is held tacitly rather than written down, and acquisition and retention are not measured. For investors this translates directly into uncertainty about how repeatable and predictable future revenue really is.

Financial Management

80%**ON TRACK**

Core financial management is operating, but reporting and forecasting fall short of the standard investors expect during due diligence. Cash-flow is not modelled forward, records are not yet investor-grade, and management reporting lacks a regular cadence — all of which limit confidence in the numbers.

Operations

13%**HIGH RISK**

Operational delivery works at the current scale, but it depends on undocumented, person-dependent routines. Processes live in people's heads, key functions rest on individuals, and performance is not tracked against targets — which caps resilience and makes scaling risky.

Legal & Compliance

17%**HIGH RISK**

Foundational legal structures are in place, but governance, contracts and compliance records are incomplete. Licences and agreements are not consolidated, compliance gaps remain open, and intellectual property and oversight are not fully established — the issues most likely to stall or derail investor due diligence.

04 Detailed Findings

Domain-by-domain observations recorded during the assessment.

Commercial / Market

72%

Commercial capability was assessed across the sales process, market positioning, and customer acquisition and retention.

- › The sales process and revenue pipeline operate without documented stages, ownership or conversion tracking, which makes forecasting unreliable.
- › Market positioning and competitor intelligence are understood by the founder but are not documented or shared across the team.
- › Customer acquisition and retention run without measurable targets, so channel performance and churn cannot be actively managed.

Financial Management

80%

Financial capability was assessed across record quality, management reporting, cash-flow forecasting and controls.

- › Cash-flow is not formalised into a rolling forward-looking model, leaving liquidity risk unmanaged as the business scales.
- › Financial records are maintained but are not yet investor-grade and have not been independently reviewed.
- › Accounting systems and management reporting lack the controls and monthly cadence investors expect.

Operations

13%

Operational capability was assessed across process documentation, key-person dependency and performance management.

- › Core operating processes and standard procedures are not documented, so quality depends on specific individuals.
- › There is significant key-person dependency across critical functions, creating business-continuity risk.
- › Performance is not consistently tracked against defined KPIs, which limits operational visibility.

04 Detailed Findings (continued)

Legal & Compliance

17%

Legal capability was assessed across registration, contracts, regulatory compliance, intellectual property and governance.

- › Licences, permits, contracts and governance records require review and consolidation into a single verifiable set.
- › Compliance gaps remain open that could delay or complicate investor due diligence.
- › Intellectual property is unregistered and formal oversight and decision-rights structures are not established.

05 Recommendations

Targeted capacity interventions to close the gap in each domain.

Commercial / Market

72%

- Document the end-to-end sales process with defined stages, owners and conversion metrics, and review it monthly.
- Maintain a living market-positioning and competitor-intelligence brief that informs pricing and messaging.
- Adopt CRM-based pipeline tracking with explicit customer acquisition and retention KPIs.

Financial Management

80%

- Implement accounting software and produce disciplined monthly management accounts.
- Build and maintain a rolling 12-month cash-flow forecast tied to the operating plan.
- Prepare investor-grade financial statements and arrange an independent review or audit.

Operations

13%

- Document core processes and standard operating procedures for all critical functions.
- Reduce key-person dependency through delegation, cross-training and succession planning.
- Define operational KPIs and link them to a regular performance-management routine.

05 Recommendations (continued)

Legal & Compliance

17%

- Review and consolidate licences, permits and key contracts into a diligence-ready pack.
- Close outstanding compliance gaps and formalise governance and oversight structures.
- Register intellectual property and document board composition and decision rights.

06 Prioritisation

Quick wins are high-impact actions requiring fewer resources — sequence them first. Bold plays require more effort but deliver greater readiness gains, sequenced across the 3–18 month programme.

● QUICK WINS

High impact · fewer resources · sequence first

- 1 Formalise financial records
- 2 Confirm licences & permits
- 3 Document core processes

● BOLD PLAYS

Greater effort · greater readiness gains

- 4 Implement CRM pipeline tracking
- 5 Build a rolling cash-flow forecast
- 6 Prepare audited financials
- 7 Establish a governance structure
- 8 Register intellectual-property assets

SEQUENCING

Sequencing follows impact and investor relevance: stabilise the highest-risk domains first with the quick wins, then build the durable controls — CRM, audited financials, governance and IP — that carry the business past the 70% readiness threshold.